

Interest Rates And Fees Policy

Last updated: January 2025

Overview

This policy explains how interest rates are set and disclosed, the difference between the interest rate and the annual percentage rate (APR), and the fees that may apply across loan products. All rates and fees applicable to a specific loan are disclosed before the borrower accepts the loan.

1. Interest Rates

1.1 Fixed Versus Variable

A fixed rate stays the same for the life of the loan. A variable (adjustable) rate can change over time based on a published index. Personal and auto loans are typically fixed; mortgages may be fixed or adjustable.

1.2 How Rates Are Determined

The rate offered to a borrower depends on credit score, loan amount, term, loan-to-value (for secured loans), the product type, and prevailing market rates. Stronger credit profiles receive lower rates.

1.3 Index And Margin (Variable Loans)

For variable-rate loans, the rate equals an index (for example, SOFR or a constant-maturity Treasury) plus a fixed margin. When the index moves, the rate adjusts at the next scheduled adjustment date, subject to caps.

1.4 Rate Caps (Adjustable-Rate Mortgages)

Adjustable-rate mortgages include caps that limit how much the rate can rise: an initial cap at the first adjustment, a periodic cap at each later adjustment, and a lifetime cap over the life of the loan.

2. APR Versus Interest Rate

2.1 Interest Rate

The interest rate is the cost of borrowing the principal, expressed as a yearly percentage. It determines the interest portion of each payment.

2.2 Annual Percentage Rate

The APR reflects the interest rate plus certain fees (such as origination fees and, for mortgages, points and some closing costs), expressed as a yearly rate. The APR is usually higher than the interest rate and provides a more complete cost comparison across offers.

2.3 Disclosure

Both the interest rate and the APR are disclosed in the loan documents before signing, in accordance with the Truth in Lending Act.

3. Common Fees

3.1 Origination Fee

A one-time fee for processing and underwriting the loan, expressed as a percentage of the loan amount. For personal loans this ranges from 1% to 6% and is deducted from proceeds; for mortgages it is part of closing costs.

3.2 Application And Underwriting Fees

Some products charge an application or underwriting fee. Where charged, the amount is disclosed up front. Personal and auto loans generally do not charge a separate application fee.

3.3 Late Payment Fee

Charged when a payment is not received by the end of the grace period. The amount varies by product and is stated in the loan agreement (commonly 5% of the overdue payment, subject to a maximum).

3.4 Returned Payment Fee

A fee of up to \$25 applies when a payment is returned unpaid by the bank for insufficient funds.

3.5 Prepayment Penalty

Our consumer loans do not carry prepayment penalties. Borrowers may pay off early without an additional charge.

4. Mortgage-Specific Charges

4.1 Discount Points

A borrower may pay discount points at closing to lower the interest rate. One point equals 1% of the loan amount and typically reduces the rate by a set amount. Whether points are worthwhile depends on how long the borrower keeps the loan.

4.2 Rate Lock And Extension Fees

Locking a rate is generally free for the standard lock period. Extending a lock beyond the original period, or floating down to a lower rate, may incur a fee.

4.3 Third-Party Closing Costs

Appraisal, title, recording, and similar third-party costs are paid at closing. These are disclosed in the Loan Estimate and finalized in the Closing Disclosure.

5. Discounts

5.1 Autopay Discount

Enrolling in automatic payments reduces the APR by 0.25% on most consumer loans, for as long as autopay remains active.

5.2 Relationship Discounts

Existing customers who maintain a qualifying deposit balance or multiple accounts may be eligible for a relationship rate discount. Terms are disclosed at application.

6. Rate Changes And Notices

6.1 Fixed-Rate Loans

The rate on a fixed-rate loan does not change after funding. Any change requires a refinance or modification, which is a new agreement.

6.2 Variable-Rate Adjustment Notices

For adjustable-rate loans, the borrower receives advance written notice before the rate and payment change, in accordance with applicable law. The notice states the new rate, the new payment, and how the rate was calculated.

7. Transparency Commitment

We disclose all rates and fees applicable to a loan before the borrower is obligated. Borrowers are encouraged to compare the APR across offers, ask about any fee they do not understand, and request the full fee schedule for their product.

8. Contact

For questions about rates and fees, contact our lending team Monday through Friday 8 AM to 8 PM by phone at 1-800-555-0142, by secure message in the online portal, or by email at loans@bankexample.com.